

Balanced Scorecard Case Study

**Jubilee Superstore Dashboard &
Balanced Scorecard Development**

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Executive Summary

The first section of the report discusses and analyses the financial performance of Jubilee Superstores Ltd, a large retailer based in Australia. To monitor and evaluate the company's actual financial performance against its strategic targets, an interactive financial dashboard was developed to enable management to identify emerging key trends across various metrics such as Gross Profit Margin & Operating Profit Margin by products to make informed data-driven decisions enhanced by interactivity.

The second section will propose a comprehensive plan for Key Performance Indicators (KPI) that measures non-financial performance of the company as part of balanced scorecard development. This will enable management to track and monitor performance in social responsibility, environmental sustainability, and Indigenous data sovereignty to increase market share and value through ethical business practice.

In collection, the financial dashboard and KPI proposal plan will provide a holistic framework into achieving Jubilee Superstores' financial targets and expectations to societal and environmental objectives.

1. Part A: Financial Dashboard

To improve the monitoring of Jubilee Superstores' financial performance, an interactive financial dashboard was developed. This enables management to understand financial trends across dimensions such as product, customer type, and region, with visualisations primarily showcasing trends in November 2024 to display monthly performance actuals versus KPIs' targets.

1.1. Dashboard Design

The interactive financial dashboard design consists of four key elements to fulfill requirements highlighted in the project instruction:

1. Financial performance KPIs including Gross Profit Margin (GPM) and Operating Profit Margin (OPM) by products in November 2024.
2. Highlight KPIs' strategic targets (0.40 & 0.16) against actual performance.
3. Allow dashboard interactivity.
4. Feature additional categories such as region, customer type, division, and distribution channel.

Financial Performance Measurements

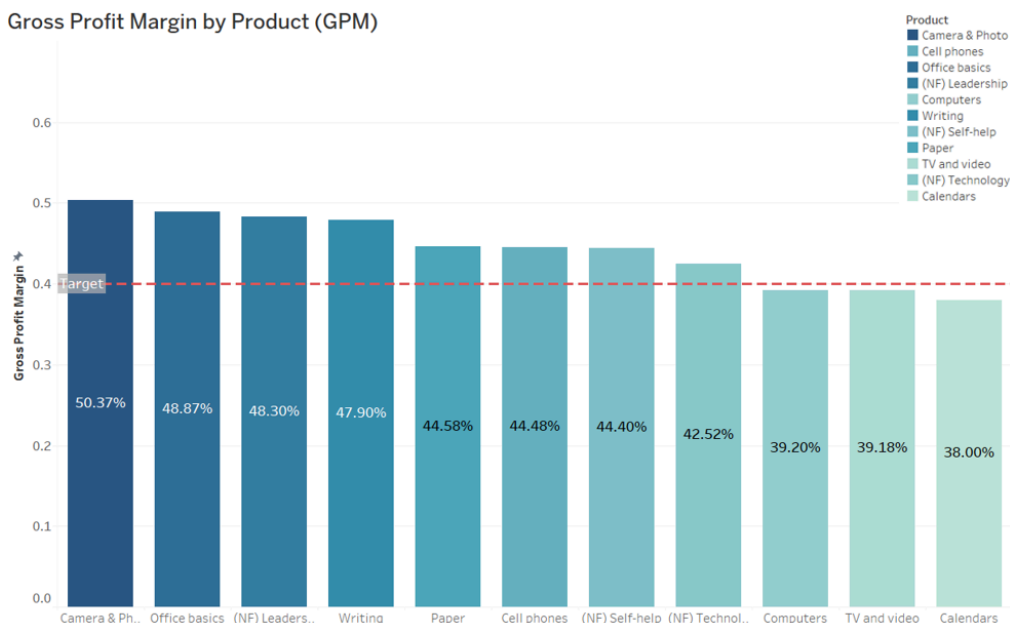


Figure 1 - Gross Profit Margin by product category bar chart.

Note: Nonfiction (NF)

The bar chart (Figure 1) featured in the dashboard, visualises the GPM of the company by product in November 2024. By employing distinctive colour shades to represent each data bar, it enables viewers to clearly differentiate product performance as showcased by the chart legend, while using blue colours for general accessibility. In addition, the red dotted line across the chart indicates the KPI target (0.40) against actual performance of each product.

Dashboard Interactability & Categories

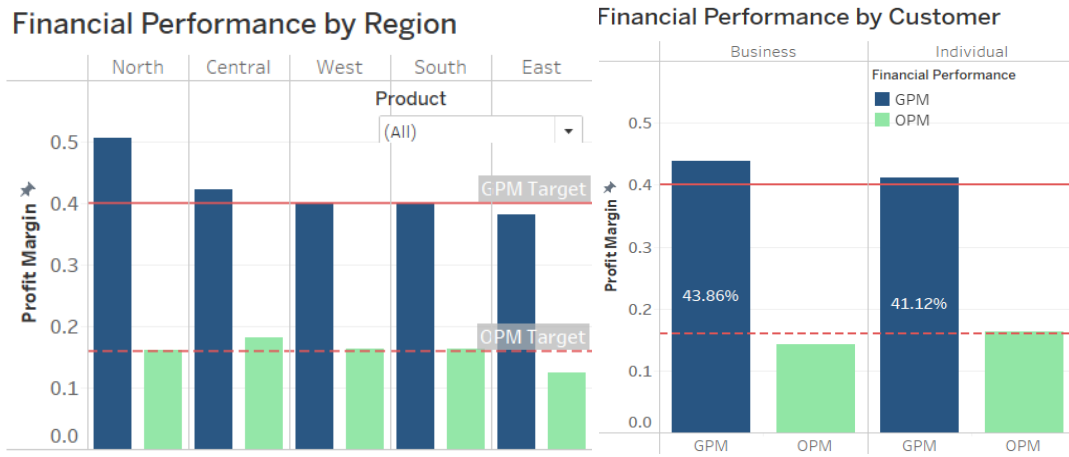


Figure 2 - Financial performance by region and customer type grouped bar charts

To provide further detailed analysis, financial performance measured through GPM & OPM of other categories such as region, customer type, and division are also displayed in the dashboard. Where viewers can compare KPIs' targets (0.40 & 0.16) represented by the lines across the charts to evaluate performance of each category. Interactable filters incorporated also allow users to select specific products to view in relation to region and customer type for in-depth exploration. In which some filters are synced across multiple visualisations so that data changes using a single filter to reduce repetitive action by users.

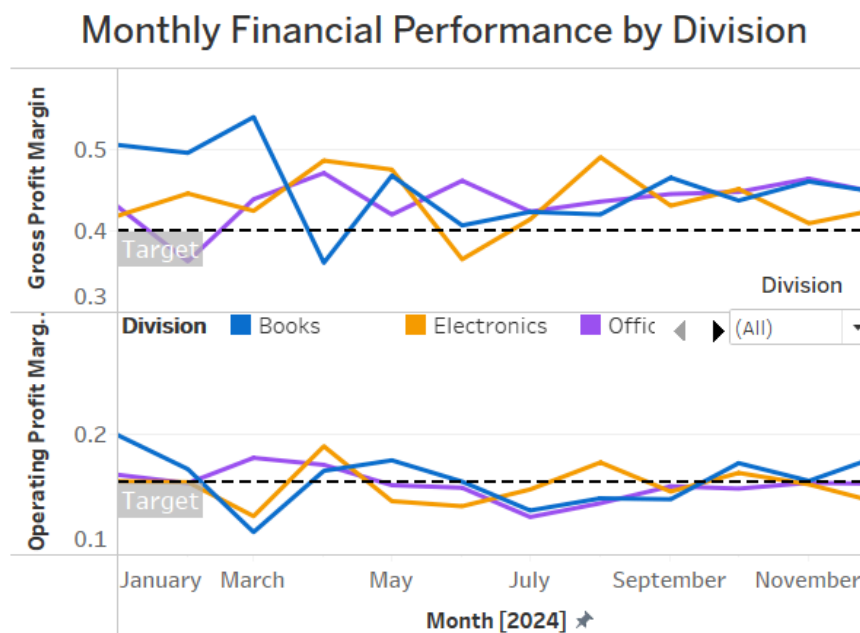


Figure 3 - Monthly financial performance by division

In addition, a macro product visualisation of monthly division performance is also provided to track and monitor Jubilee Superstores' division growth as reflected by each distinctive colour. Where the embedded division filter allows users to isolate or select multiple specific divisions for viewing clarity. Through employing a line chart, performance in November can also be compared to prior months to evaluate company growth in connection to each division.

1.2. Company Performance & Insights

Financial Performance by Distribution Channel

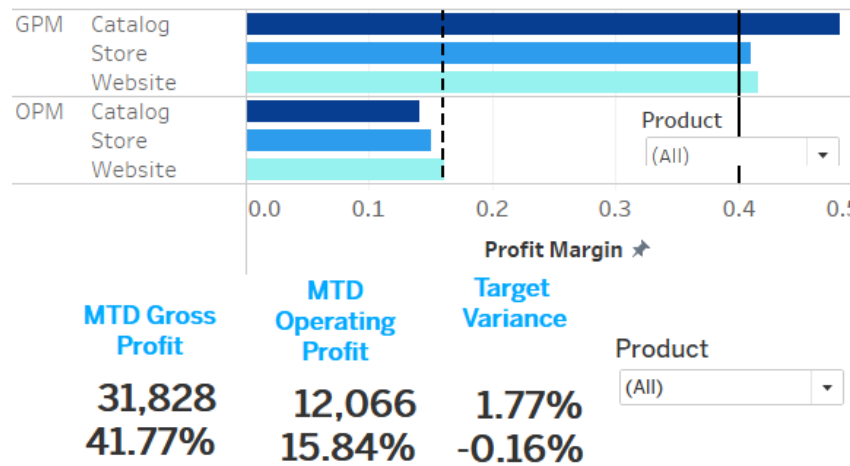


Figure 4 - Financial performance by distribution channels and profit margins & KPI target variance to actuals in November 2024

In November 2024, Jubilee Superstores fulfilled company KPIs' target in Gross Profit Margin of 40% by 1.77% overall as reported by target variance (Figure 4). However, after accounting for operational costs, monthly Operating Profit Margin slightly falls below the target of 16% by 0.16%. This suggests that operating expenses are too high relative to sales due to potential excessive overheads or overstaffing. Despite sustaining healthy gross profit, operating costs in business operations are impacting overall financial performance, where operating expense optimization is required.

Operating Profit Margin by Product (OPM)

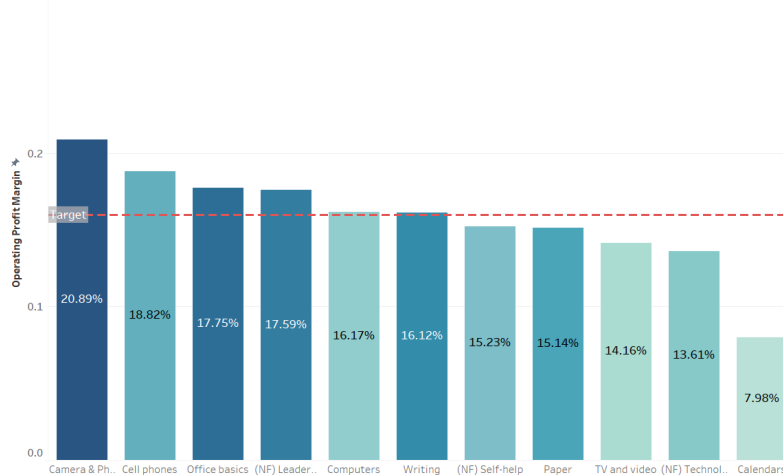


Figure 5 - Operating Profit Margin by Product bar chart

The difference between GPM and OPM of each product can be observed in above charts (Figure 1 & 5). In terms of product performance, the "Camera & Photo" product category illustrates outstanding performance in both KPIs, displaying significant GPM of 50.37% and OPM of 20.89%. In contrast, although "Paper" and "(NF) Self-help" was above GPM's target, the two product categories deviated below the expected target in OPM. This indicates problematic operating costs that require attention in both products that are undermining profit margins for the company.

2. Part B: Balanced Scorecard Development

The proposed KPIs aim to support the company's Balanced Scorecard development to shift towards non-financial performance monitoring, such as social responsibility, environmental sustainability, and Indigenous data sovereignty.

2.1. KPI Proposal Plan

Customer Satisfaction

1. Net Promoter Score (NPS) - NPS is a customer loyalty and satisfaction metric that scores a customer's likelihood to recommend the company's products or services to others using surveys by rating their experience from 1 to 10. To determine NPS score, subtract % Detractors (customers who score 0–6) from % Promoters (customers who score 9 or 10). Where data for NPS can be obtained through ratings from customer experience surveys placed in store webpage and checkout points in retail stores.

Fessenden states “NPS is a quantifiable measurement of something as nebulous as customer loyalty” based on a single question (Fessenden, 2024). NPS ultimately reflects on the degree of customer satisfaction, by displaying strong NPS it demonstrates ethical customer treatment and sustainable competitive advantage to investors.

2. Customer Turnover Rate - The rate at which customers stop doing business with the company over a given period. A high turnover rate can indicate that customers are not satisfied with the company. While a low turnover rate displays evidence of customer satisfaction in the form of revenue to investors and is less subjective in comparison to NPS. This is measured through the quantity of customers lost during a time period divided by customers at the start of the period. Which will require transactional datasets to count the number of unique customers that were lost in a given period (e.g. have not purchased in +6 months).

Internal Process Efficiency

1. Inventory Turnover Ratio - Measures the number of times the company has sold and replenished its inventory in a given period. It is calculated through dividing the Cost of Goods Sold (COGS) by the average inventory value, which requires data from financial statements and average inventory (beginning Inventory + ending Inventory divided by 2). Lee et al. (2015) suggests that higher turnover significantly reduces both flow time and lead time in production processes, leading to reduction in the inventories of raw materials, works-in-progress, and finished goods. Hence, Inventory Turnover Ratio allows management to monitor inventory levels in relation to COGS, which mitigate risks in overstocking and stock-outs for customers.

2. Delivery In Full, On Time (DIFOT) rate - Metric that measures the rate at which orders are delivered to customers exactly as requested including the correct products, in the correct quantities, and on the intended delivery date. To calculate this KPI, the company must retrieve the ordered quantity, delivered quantity,

estimated delivery date and actual delivery date from the orders dataset, then divide the number of orders that were delivered both in full and on time by the total number of orders within the specified period. Through monitoring performance in DIFOT rate, market share and value can increase as customer perception of the company's reliability improves. While low DIFOT rate can lead to increased packaging waste and additional transportation which can harm the company's objective in environmental sustainability. Hence, it is crucial to monitor DIFOT performance to sustain brand perception and to reinforce environmental practices.

Employee Learning and Growth

1. 360-Degree Feedback Score - Measures the performance of employees to understand their strengths and weaknesses by evaluating employees based on ratings and feedback from multiple sources, such as managers and peers. To produce feedback score of an employee, employee list (e.g. name, position, employee ID) and completed 360-Degree survey responses is required. Cormack et al. (2018) described 360-Degree Feedback as a process that facilitates increased confidence in knowledge and skills, and provides opportunities for behaviour change. Through encouraging high feedback scores, employee retention can be improved in addition to service quality, and enables management to identify and train problematic employees before it becomes an issue.

2. Training Return on Investment (ROI) - Metric that measures the financial benefit generated from training programs compared to its cost. The rate of return is calculated by subtracting the total training costs from the monetary benefits derived from the training, then dividing the result by the total training costs. This will require data from training program cost, and performance metrics before and after training of participants (e.g. sales, customer satisfaction scores). Where training ROI can also track employee performance in relation to training in ethical practice and cultural awareness.

Social Performance

1. Employee Gender Pay Gap (GPG) - Measures the difference between men's and women's average or median salary across the entire organisation. Calculated as median total pay of women subtracted from men's, then dividing the result by median total pay of men using data from payroll systems and employee datasets. Where the target is usually 0% to support gender equality to address social responsibility and workplace equality. By addressing the gap, it helps employers to publicly demonstrate their commitment to creating workplaces where everyone can flourish (Horton & Box, 2024).

2. Rate of Product Ethical Sourcing Standards - The proportion in which inventory comes from products certified under recognised ethical labour and human-rights standards (e.g. SA8000, Fairtrade). The rate of ethical product sourcing can be calculated as annual sales value of certified products divided by total annual sales. Monitoring the rate of ethical sourcing directly addresses social objectives.

Environmental Sustainability

1. Energy Consumption - Measures energy consumption across the organisation such as stores and warehouses, calculated through total monthly energy consumption in kWh divided by monthly sales revenue ($(\text{kWh}) \div (\text{Sales revenue} \div 1000)$) to find consumption per \$1000 sales revenue. Which can be retrieved from utility invoices and total sales revenue from income statements. The organisation can commit to environmental objectives through monitoring energy consumption rate month-over-month, and lower energy consumption using eco-friendly technology. Due to global and industrial drivers, the issue of improving Energy Efficiency (EE) has become increasingly important as societal concerns towards industrial firms about climate change, scarcity of resources, and energy supply increases (May et al., 2017).

2. Supply Chain Transport Distance - The distance goods traveled from production to final delivery (distributors, warehouses, stores, and to customers). This would require suppliers and logistic providers' collaboration to report delivery distance and then sum total distance to obtain total supply chain distance for products. By monitoring transport distance, the organisation can effectively shorten supply chains to lower gas emissions, while improving efficiency in distribution channels.

Indigenous Data Sovereignty

1. Rate of Indigenous Employees that Consented to Data Use - To engage in reconciliation initiatives and to respect Indigenous peoples' universal right to self-determination, the company should follow the components of Free, Prior and Informed Consent (FPIC). Measured by the number of Indigenous individuals that provided explicit consent for use of their personal data divided by the number of Indigenous individuals in the organisation extracted from employee databases. The goal is to achieve a 100% consensual rate to commit to Indigenous data sovereignty, and to identify instances of non-consensual creation, collection, access, and analysis of Indigenous data within the organisation.

2. Rate of Employee Indigenous Data Sovereignty Training - The company should display its goal in strengthening relationships with Aboriginal and Torres Strait Islander peoples by educating data-related employees in Indigenous data sovereignty. This can be measured by the number of employees in data roles with completed training in Indigenous data sovereignty and ethical data practice divided by total number of employees in data-related roles. A high rate of training completion would demonstrate Jubilee Superstores' adherence and respect to Indigenous data rights to fuel its strategic societal goals. Furthermore, a regression analysis study indicates that there is a significant positive relationship between training and employee performance, and was found to be a major predictor of employee performance (Sendawula et al., 2018). By ensuring workers understand the right of Indigenous peoples to control the collection and use of data related to Indigenous communities, peoples, and lands, the KPI mitigates risks in mishandling of data and displays initiatives for Reconciliation Action Plan (RAP).

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